Question 1 : William Mark

William Mark is an accomplished cattle rancher and dairy farmer in the Nyamandhlovu area in the Matabeleland region.

William Mark has always maintained his livestock at the assessed carrying capacity of his land (ACCL) which is 400 herds but during the year ended 31 December 2010, he was forced to sell 60% of his herd due to the terrible drought that year. However, he intends to restock his herd in the coming agricultural season as the Meteorological Department has forecasted a normal plus rainy season. The Nyamandhlovu area was designated a drought-stricken area at the beginning of 2010 by the Minister.

His livestock as at 1 January 2010 was as follows:

	Quantity	Approved	valuation (US$)	Livestock value (US$)
Bulls	10	PPV	200	2 000
Cows	230	FSV	100	23 000
Oxen	170	FSV	80	13 600
Heifers	45	FSV	50	2 250
Tollies	30	FSV	40	1 200
Calves	15	FSV	20	300
	500			42 350

Livestock activities during the year ended 31 December 2010:

- 2 bulls were stolen
- 180 cows and 120 oxen were sold due to the stress of drought. The sales were made in August 2010.
- 20 cows and 30 oxen were sold to the Cold Storage Company (CSC) in July 2010
- 20 heifers and 10 tollies were regraded to cows and oxen respectively
- 10 calves were graded to heifers and 5 to tollies
- 25 calves were born during the period March to September
-

Fixed asset register as at 1 January 2010:

	Year acquired/constructed	Cost	Net book value
		US$	US$
Security fence	2002	10 000	10 000
Farmhouse	2002	120 000	120 000
Staff housing (3 units)	2010	60 000	60 000
Tractor	2005	18 000	nil
Boreholes	2002	7 000	7 000
Deep tanks	2009	32 000	30 400
Commercial vehicle	2002	13 000	nil
Passenger vehicle	2007	20 000	12 000
3 wells	2010	9 000	9 000

William Mark's policy on fixed assets has always been to claim the maximum capital allowances possible in any given year.
William Mark's income and expenditure details from his farming operations for the year ended 31 December 2010:

	Note	US$
Income		
Drought induced sales		129 000
CSC sales		87 000
Profit on sale of the commercial vehicle	1	15 000
Expenditure		
Stock feed		19 000
Deeping chemicals and vaccines		12 500
Wages		22 700
Livestock purchases	2	45 000

Notes
1 The commercial vehicle was sold at the market value of US$15 000 during the year.
2 William Mark signed an agreement with a Manicaland farmer for the purchase of 300 cattle(200 cows and 100 oxen) for US$45 000 on 21 December 2010 in order to restock his herd which was depleted due to the drought-induced sales. The terms of the agreement were that the payment was due on signing the agreement but the cattle will be delivered 4 days thereafter during which time all the legal formalities would have been completed.

Required:

(a)Calculate the livestock closing stock value as at 31 December 2010

(b) Explain and calculate the tax reliefs available to William Mark for the year ended 31 December 2010 in connection with the drought.

(c) Calculate the minimum taxable income and tax payable by William Mark for the year ended 31 December 2010.

Question 1: William Mark

(a) Calculate the livestock closing stock value as at 31 December 2010

2010	**Bulls**	**Cows**	**Oxen**	**Heifers**	**Tollies**	**Calves**	**Total**
Opening balance	10	230	170	45	30	15	500
Births						25	25
Promotions		20	10	10	5		45
Subtotal A	**10**	**250**	**180**	**55**	**35**	**40**	**570**
Sales - CSC		(20)	(30)				(50)
Sales - Enforced		(180)	(120)				(300)
Promotions Out				(20)	(10)	(15)	(45)
Theft	(2)						(2)
Subtotal B	**(2)**	**(200)**	**(150)**	**(20)**	**(10)**	**(15)**	**(397)**
Stock balance before restocking	**8**	**40**	**30**	**35**	**25**	**25**	**173**
Purchases _ - Restocking		200	100				300
Closing balance at 31 Dec	8	**240**	**130**	**35**	**25**	**25**	**473**
FSV	$200	$100	$80	$50	$40	$20	
$ Value	**$1,600**	**$24,000**	**$10,400**	**$1,750**	**$1,000**	**$500**	**$39,250**

Question 1: William Mark **Continued**

(b) William has the following Tax reliefs if he so elects:

- (7th Schedule Para 5) The option to roll over his income over 3 years – Drought relief
- (7th Schedule Para 5) Restocking allowance which is provided on the cost of restocking a head which has depleted by forced sales

Drought Relief

Drought Sales			129,000
Less : FSV			
180 Cows @ 100		18,000	
120 Oxen @ 80		9,600	
Expenses ($54,200 * 300) / 0,5 (500 + 473)		33,422	(61,022)
Taxable Income			67 , 978
Roll Forward to the next 2 Years($67,978 * 2/3)			45 319

Livestock direct expenses = Stock feed + Deeping Chemicals and Vaccines + Wages
= $19,000 + $12,500 + $22,700
= $54,200

Restocking allowance

(ii) $\frac{A * B}{2 \quad C}$

Where A= $45,000
B= 227 (400 -173)
C= 300

ACCL is 400

On hand prior to the Purchase if 173

$$= \frac{\$\ 45{,}000}{2} * \frac{227}{300}$$

$$= \underline{\$17{,}025}$$

Question 1: William Mark **Continued**

Calculation of Taxable Income - 2010

2010	**$**	**$**	**$**
Drought Induced Sales			129,000
CSC Sales			87,000
Profit on sale of commercial vehicle- accounting entry			-
Recoupment on sale of vehicle – no recoupment vehicle purchased prior to Feb 2009			-
Less Deductible expenses			
Stock feed			(19,000)
Deeping chemicals and vaccines			(12,500)
Wages			(22,700)
Cost of sales			
Opening stock		**42,350**	
Add Purchases		**45,000**	
Less Closing stock – refer to part a		**(39,250)**	(48,100)
Restocking allowance – part b			(17,025)
Drought sales rollover relief -			(45,319)
3 wells – 7th schedule			(9,000)
Staff housing: SIA ($30,000 * 25%) – Capital allowances claimable on a restricted cots of $10,000 per unit			(7,500)
Dip Tanks – Accelerated W&T ($32,000 * 25%)			(8,000)
Taxable Income			**26,856**
Tax @ 25.75%			6,915